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IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement (Demerger)*

Between

CP(CAA)/68/(CHE)/2021 in CA(CAA)/25/(CHE)/2021

OPG ENERGY PRIVATE LIMITED
CIN NO: U40101TN2000PTC045702
NO.8, KOMAL ROAD, MARUTHUR VILLAGE
TERIZHANDUR POST, MAYILADUTHURAI,
NAGAPATTINAM – 609 808

...Demerged Company

Along with

BRICS POWER GENERATION PRIVATE LIMITED
CIN NO: U40104TN2011PTC081378
NO.8, KOMAL ROAD, MARUTHUR VILLAGE
TERIZHANDUR POST, MAYILADUTHURAI,
NAGAPATTINAM – 609 808

... Resulting Company-1

Along with

DHANVARSHA ENTERPRISES & INVESTMENTS PRIVATE LIMITED
CIN NO: U65993TN1995PTC029749
NO.10, NORTH TERMINUS ROAD,
TOLLGATE, CHENNAI - 600081

... Resulting Company-2

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on ***20th July 2022***

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Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *R.Inbaraju, Advocate*

COMMON ORDER

Per: **Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the Petitioner Companies viz. **OPG ENERGY PRIVATE LIMITED** (for brevity "Demerged Company") and **BRICS POWER GENERATION PRIVATE LIMITED**(for brevity "Resulting Company – 1") **DHANVARSHA ENTERPRISES & INVESTMENTS PRIVATE LIMITED** (for brevity "Resulting Company – 2")and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companies and the said Scheme is also annexed at "Annexure -20" to the typed set filed alongwith the application in CP/CAA/68/CHE/2021.

2. The Registered office address of the Demerged Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA/CAA/25/CHE/2021, before the NCLT, Chennai Bench and directions were issued vide order dated 04.10.2021.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Demerged Company had filed its First Motion Application vide CA/CAA/25/CHE/2021, seeking directions for conducting or convening of meeting of the Class A, B & C Equity Shareholders, Secured Creditors and Unsecured Trade Creditors of the Demerged Company and seeking dispensation of meeting of the Equity Shareholders and Unsecured Trade Creditors of the Resulting Company 1 and seeking dispensation of meeting of the Equity Shareholders and Unsecured Loan Creditors of the Resulting Company 2 and the same was ordered by this Tribunal dated 04.10.2021.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 04.10.2021, to convene the

meetings of the Class 'A', 'B' & 'C' Equity Shareholders of the Demerged Company on 27.11.2021 at No.8, Komal Road, Maruthur Village Terizhandur Post, Mayiladuthurai, Nagapattinam – 609 808 at 10:00 AM, 11:00 AM & 12:00 Noon respectively and to convene the meetings of the Secured Creditors & Unsecured Trade Creditors of the Demerged Company on 27.11.2021 at No.8, Komal Road, Maruthur Village Terizhandur Post, Mayiladuthurai, Nagapattinam – 609 808 at 1:00 PM & 2:00 PM respectively. Accordingly, the Tribunal has appointed Mr.Shankar Ram Subramanian as Chairperson and Ms. Nithya Pasupathy, PCS as Scrutinizer for the said meetings. Subsequent to the said order, the Demerged Company has filed the present Petition before this Tribunal on 06.12.2021 for sanction of the Scheme of Arrangement by this Tribunal.

3.3 The Chairman submitted his Report on the above said meetings held on 27.11.2021. From the Chairman's Report, it is observed that the Class 'A', 'B' & 'C' Equity Shareholders, Secured Creditors and Unsecured Trade Creditors of the Demerged Company had consented in favour of the Scheme. The said Chairman's report is also annexed at "Annexure 47 to Annexure 51" to the typed set filed along with the Petition.

4. RATIONALE OF THE SCHEME

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a) The Demerger will enable the Demerged Company and Resulting Companies to focus and enhance its remaining business operations by streamlining operations and cutting costs and consequently ensuring better and more efficient management control.

b) The demerger would provide synergistic linkages besides economies in costs and other benefits resulting from the economies of scale, by combining the similar line of businesses and operations of the Solar Power Undertaking and Investment Undertaking of the Demerged Company with the Resulting Companies and thus contribute to the profitability of the Resulting Companies by rationalization of management and administrative structure.

c) The demerger would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the financial resources, managerial, technical and marketing expertise of the Solar Power Undertaking and the Investment Undertaking of the Demerged Company and the Resulting Company.

d) The Demerger will enable the Solar Power Undertaking and the Investment Undertaking of the Demerged Company and the Resulting Company, to productively utilize their resources and achieve cost and operational efficiencies.

e) The demerger will result in enhancing competitive strength, achieving cost optimisation, ensuring benefits through pooling of the financial, managerial and technical resources, personnel capabilities, skills, expertise and technologies of the Resulting Companies and the Demerged Company thereby significantly contributing to future growth and maximizing shareholders' value.

f) The demerger is proposed with a view to rationalise the shareholding structure of the Demerged Company and ensure conformance with the proposed amendments to the Electricity Rules relating to the Captive Generation Plants and associated directions from the Tamil Nadu Electricity Regulation Commission in this regard.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 12.01.2022 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, and (iii) Reserve Bank of India (iv) the Jurisdictional Income Tax Office having Jurisdiction and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"Business Standard"*, English (All India Edition) and *"Makkal Kural"* Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal and a perusal of the same discloses that the Demerged Company has effected paper publication as directed by the Tribunal in *"Business Standard"* (All India Edition) in English and *"Makkal Kural"* (Tamil Nadu Edition) in Tamil on 26.01.2022. It is also seen that notices have been also served to (i) Regional Director (Southern Region) on 28.01.2022, (ii) RoC, Chennai, on 28.01.2022 (iii) Reserve Bank of India on 28.01.2022 (iv) the Jurisdictional Income Tax Office having Jurisdiction on 28.01.2022. Pursuant to the service of notice of the petition the following statutory authorities have responded as below;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region*(hereinafter referred to as 'RD')* to whom the notice was issued in the first motion, has filed his Report before this Tribunal on 01.03.2022 and has stated in para 8 that clause 6 of Part II of the Scheme provides for the protection of employees of the Demerged Company's Undertaking No.1 and 2. All staff and employees of the Demerged Company's Undertaking No.1 and 2, in service on the effective date, shall be deemed

to have become staff and employees of the Resulting Company-1 & 2, with effect from the Appointed Date or date of joining whichever is later, without any break in their service and other benefits.

7.2. Further at para 9, the RD has observed that as per Clause 13 of Part IV of the Scheme, the Resulting Company No. 1 shall issue and allot to the Shareholders of Demerged Company 404 fully paid-up equity shares of Rs. 10 each for every 100 Class 'B' equity shares of Rs. 10 each and 404 fully paid-up equity shares of Rs. to each for every 100 Class 'C' equity shares of Rs. 10 each held in the Demerged Company. As regards Resulting Company No. 2, it shall issue and allot to the Shareholders of the Demerged Company 184 fully paid-up equity shares of Rs. 10 each for every 100 Class 'B' equity shares of Rs. 10 each and 184 fully paid-up equity shares of Rs. 10 each for every 100 Class 'C' equity shares of Rs. 10 each held in the Demerged Company as consideration for the proposed scheme of arrangement (demerger). No shares shall be issued / allotted to Class 'A' equity shareholders of Demerged Company being Captive Power Purchasers holding shares in order to comply with Electricity Rules, 2005.

7.3. It is also further observed in para 10 of the RD Report that Clause 13.8 of Part IV of the Scheme deals with cancellation of shares held by the Demerged Company in the Resulting Company No. 2 upon effectiveness of the Scheme. As such 2,31,325 equity shares of Rs. 10 each held by the Demerged Company stands cancelled in the Resulting Company No. 2 and upon cancellation, the Resulting Company No. 2 shall debit its Equity Share Capital and Securities Premium Account and credit the same in the Capital Reserve Accounts of the company, as such the share capital of the Resulting Company No. 2 is getting reduced.

7.4. The RD had further submitted in para 11 of the Report that Clause 16 of Part VI of the Scheme deals with: reclassification of Class 'C' Equity Shares into Preference Shares. As such the 66,66,400 Class 'C' Equity Shares of Rs. 10 each aggregating to Rs. 6,66,64,000/ shall be classified as 6,64,000 Redeemable Preference Shares of Rs. 100 each aggregating to Rs. 6,66,64,000/-. It is prayed that this Hon'ble NCLT, Chennai may direct the Demerged Company to file necessary e-form for reclassification of the above shares with Registrar upon effectiveness of the scheme.

7.5. It is also stated in Para 14 of the RD Report, Chennai, both the Demerged and Resulting Companies 1 & 2 are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending against the companies involved in the scheme of Arrangement(Demerger).

7.6. Thus, after examining the Scheme, except the observations as made in para 11 of the Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.7. Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.8. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Suman Kumar Verma, Registered Valuer dated 19.09.2020, and the Certified True Copy of the Valuation Report is placed at **Annexure- 43** at Page Nos. 447 – 460 of the typed set filed along with the application.

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of Demerged Company is placed at Annexure 21 to the typed set filed along with the petition and for the Resulting Company-1& Resulting Company-2 is placed at Annexure 22 & 23 to the typed set filed along with the petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the

requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "20" along with CP/68/CAA/2021.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Demerged Company or Resulting Company under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes

or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company 1 & 2 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company 1 & 2 for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company 1 & 2 and accordingly the same become the liabilities and duties of the Resulting Company1 & 2 ; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company 1 & 2; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company 1 & 2 on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company 1 & 2 do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 13 of Part IV of the SCHEME herein the shares in the Resulting Company-1 & 2 to which they are entitled under the said SCHEME.

(vi) That the Demerged Company shall filed necessary / appropriate e-form for reclassification of the shares with Registrar upon effectiveness of the scheme.

(vii) That the Resulting Company 1 & 2 shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company 1 & 2 after setting off the fees paid by the Demerged Company.

(viii) That the Appointed date for the Scheme shall be **01.04.2020** as mentioned in clause 1.2 of Part I of the SCHEME itself. That the Effective Date shall be the last date on which certified copies of the order(s) of NCLT sanctioning the Scheme are filed with the Registrar of

Companies, Chennai by the Demerged and the Resulting companies 1 & 2 as mentioned in clause 1.10 of Part I of the SCHEME itself.

(ix) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(x) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

SriramAnanth.V